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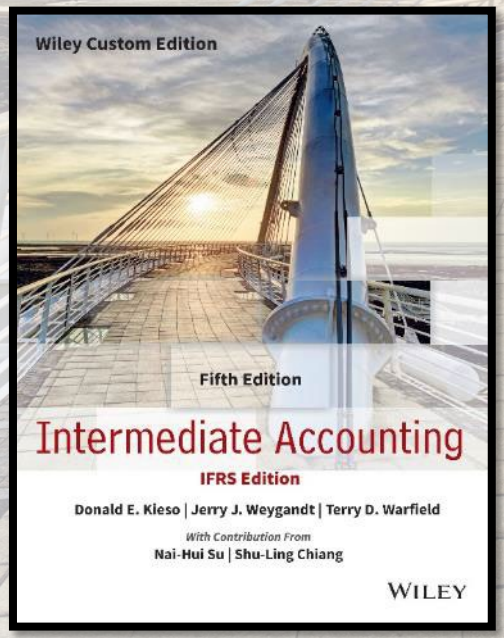
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Intermediate Accounting IFRS Edition

Kieso, Weygandt, Warfield

Fifth Edition

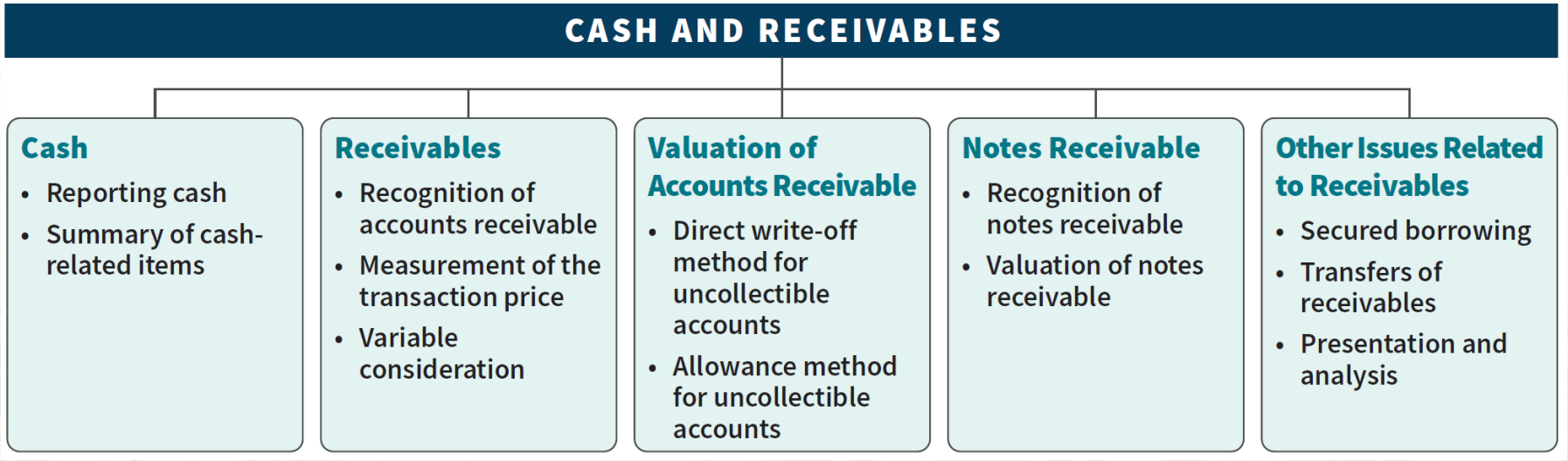
Chapter 5



Cash and Receivables

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PREVIEW OF CHAPTER 5



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Cash

- Most liquid asset.
- Standard medium of exchange.
- Basis for measuring and accounting for all other items.
- Current asset.
- **Examples:** Coin, currency, available funds on deposit at the bank, money orders, certified checks, cashier's checks, personal checks, bank drafts and savings accounts.

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Cash Equivalents

- Short-term, highly liquid investments that are both
  a) readily convertible into known amounts of cash, and
  b) subject to an insignificant risk of changes in value.

- **Examples:** Government bonds, commercial paper, and money market funds

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Restricted Cash

- Companies segregate **restricted cash** from "regular" cash.
- **Examples**, restricted for:
  1) plant expansion,
  2) retirement of long-term debt, and
  3) **compensating balances**.



Infosys

Cash and Cash Equivalents (000,000). Cash and cash equivalents as of March 31, 2019 and March 31, 2018 include restricted cash and bank balances of ₹358 and ₹533, respectively. The restrictions are primarily on account of cash and bank balances held by irrevocable trusts controlled by the Company, bank balances held as margin money deposits against guarantees, and balances held in unpaid dividend bank accounts.

ILLUSTRATION 5.1

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Bank Overdrafts

Company writes a check for more than the amount in its cash account.

- Generally reported as a **current liability**.
- Included as a component of cash if such overdrafts are repayable on demand and are an integral part of a company's cash management (such as the common practice of establishing offsetting arrangements against other accounts at the same bank).

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Classification of Cash-Related Items

Classification of Cash, Cash Equivalents, and Non-cash Items

Item	Classification	Comment
Cash	Cash	If unrestricted, report as cash. If restricted, identify and classify as current or non-current assets.
Petty cash and change funds	Cash	Report as cash.
Short-term paper	Cash equivalents	Investments with maturity of less than 3 months at acquisition, often combined with cash.
Short-term paper	Short-term investments	Investments with maturity of 3 to 12 months.
Postdated checks and I.O.U.s	Receivables	Assumed to be collectible.
Travel advances	Receivables	Assumed to be collected from employees or deducted from their salaries.
Postage on hand (as stamps or in postage meters)	Prepaid expenses	May also be classified as office supplies inventory.
Bank overdrafts	Cash	If no offsetting allowed, current liability.
Compensating balances	Cash separately classified as a deposit maintained as compensating balance	Classify as current or non-current in the statement of financial position. Disclose separately in notes details of the arrangement.

ILLUSTRATION 5.2

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Non-Trade Receivables

1. Advances to officers and employees.
2. Advances to subsidiaries.
3. Deposits paid to cover potential damages or losses.
4. Deposits paid as a guarantee of performance or payment.
5. Dividends and interest receivable.
6. Claims against:
   a. Insurance companies for casualties sustained.
   b. Defendants under suit.
   c. Governmental bodies for tax refunds.
   d. Common carriers for damaged or lost goods.
   e. Creditors for returned, damaged, or lost goods.
   f. Customers for returnable items (crates, containers, etc.).

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Recognition of Accounts Receivables

- Accounts receivable generally arise as part of a revenue arrangement.
- The **revenue recognition principle** indicates that a company should recognize revenue when it satisfies its performance obligation by transferring the good or service to the customer.

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Key Indicators of Change in Control

Some key indicators that Lululemon has transferred and that Jennifer has obtained control of the yoga outfit.

1. Lululemon has the right to payment from the customer.
2. Lululemon has passed legal title to the customer.
3. Lululemon has transferred physical possession of the goods.
4. Lululemon no longer has significant risks and rewards of ownership of the goods.
5. Jennifer has accepted the asset.

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Measurement of the Transaction Price

- The **transaction price** is the amount of consideration that a company expects to receive from a customer in exchange for transferring goods or services.

Variable Consideration

- In some cases, the price of a good or service is dependent on future events. These future events often include such items as **discounts**, **returns and allowances**, **rebates**, and **performance bonuses**.

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Variable Consideration

Trade Discounts

Use to:

- Avoid frequent changes in catalogs.
- Alter prices for different quantities purchased.
- Hide the true invoice price from competitors.

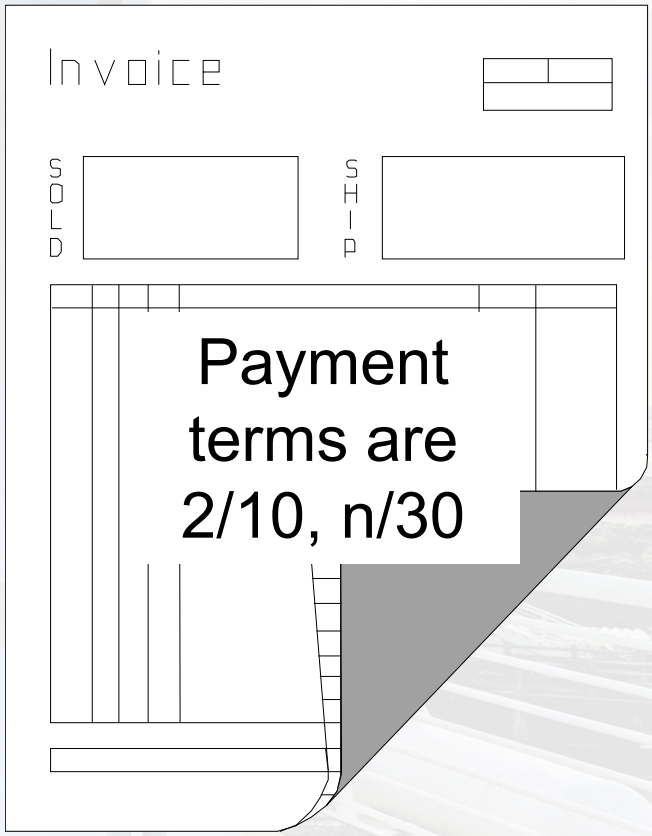


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Variable Consideration

Cash Discounts (Sales Discounts)

- Offered to induce prompt payment.
- Terms such as 2/10, n/30, 2/10, E.O.M., or net 30, E.O.M.
- Gross Method vs. Net Method.



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Variable Consideration

Cash Discounts (Sales Discounts)

Entries Under Gross and Net Methods of Recording Cash (Sales) Discounts

Gross Method			Net Method		
Sales of €10,000, terms 2/10, n/30					
Accounts Receivable	10,000		Accounts Receivable	9,800	
Sales Revenue		10,000	Sales Revenue		9,800
Payment on €4,000 of sales received within discount period					
Cash	3,920		Cash	3,920	
Sales Discounts	80		Accounts Receivable		3,920
Accounts Receivable		4,000			
Payment on €6,000 of sales received after discount period					
Cash	6,000		Cash	6,000	
Accounts Receivable		6,000	Accounts Receivable		5,880
			Sales Discounts Forfeited		120

ILLUSTRATION 5.4

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Variable Consideration

Sales Returns and Allowances

- Sales Returns and Allowances are estimated at the time of sale and credited to a Return Liability account.
- Sales Revenue is reduced by the estimated amount of returns.
- The use of the Return Liability account helps to identify potential problems associated with inferior merchandise, inefficiencies in filling orders, and delivery or shipment mistakes.
- If actual returns later prove to be higher or lower than the estimated amount, Sales Revenue is adjusted.

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Variable Consideration

Time Value of Money

- Theoretically, any revenue after the period of sale is interest revenue.
- Companies ignore interest revenue related to accounts receivable because the amount of the discount is not usually material in relation to the net income for the period.
- The profession specifically excludes from present value considerations “receivables arising from transactions with customers in the normal course of business which are due in customary trade terms not exceeding approximately one year.”

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Valuation of Accounts Receivable

Uncollectible Accounts Receivable

- Record credit losses as debits to Bad Debt Expense (or Uncollectible Accounts Expense).
- Normal and necessary risk of doing business on credit.
- Two methods to account for uncollectible accounts:
  1) Direct write-off method
  2) Allowance method

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Allowance Method for Uncollectible Accounts

- Involves estimating uncollectible accounts at the end of each period.
- Ensures that companies state receivables on the statement of financial position at their cash realizable value.
- Companies estimate uncollectible accounts and cash realizable value using information about past and current events as well as forecasts of future collectability.

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Recording the Write-Off of an Uncollectible Account

- When companies have exhausted all means of collecting a past-due account and collection appears impossible, the company should write off the account.
- In the credit card industry, for example, it is standard practice to write off accounts that are 210 days past due.

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Estimating the Allowance

Percentage-of-Receivables Approach

- Reports estimate of receivables at cash realizable value.

Companies may apply this method using

- one **composite rate**, or
- an **aging schedule** using different rates.

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Accounts Receivable Aging Schedule

Wilson & Co.
Aging Schedule

Name of Customer	Balance Dec. 31	Under 30 days	30–60 days	61–90 days	91–120 days	Over 120 days
Western Stainless Steel	€ 98,000	€ 15,000	€ 65,000	€18,000		
Brockway Steel	320,000	280,000	40,000			
Freeport Sheet & Tube	55,000					€55,000
Allegheny Iron Works	74,000	50,000	10,000		€14,000	
	€547,000	€345,000	€115,000	€18,000	€14,000	€55,000

Age	Amount	Percentage Estimated to Be Uncollectible*	Required Balance in Allowance
Under 30 days	€345,000	0.8%	€ 2,760
30–60 days	115,000	4.0	4,600
61–90 days	18,000	15.0	2,700
91–120 days	14,000	20.0	2,800
Over 120 days	55,000	25.0	13,750
Year-end balance of allowance for doubtful accounts			€26,610

* Estimates are based on historical loss rates, taking into consideration whether and, if so, how the historical loss rates differ from what is currently expected over the life of the trade receivables (on the basis of current conditions and reasonable and supportable forecasts about the future).

ILLUSTRATION 5.6

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Notes Receivable (1 of 2)

Supported by a formal **promissory note**.

- Written promise to pay a certain sum of money at a specific future date.
- A negotiable instrument.
- Maker signs in favor of a Payee.
- Interest-bearing (has a stated rate of interest) OR
- **Zero-interest-bearing** (interest included in face amount).

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Notes Receivable (2 of 2)

Generally originate from:

- Customers who need to extend payment period of an outstanding receivable.
- High-risk or new customers.
- Loans to employees and subsidiaries.
- Sales of property, plant, and equipment.
- Lending transactions (the majority of notes).

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Discount Amortization Schedule—
Effective-Interest Method

Schedule of Note Discount Amortization
Effective-Interest Method
0% Note Discounted at 9%

	Cash Received	Interest Revenue	Discount Amortized	Carrying Amount of Note
Date of issue				$ 7,721.80
End of year 1	$ –0–	$ 694.96[a]	$ 694.96[b]	8,416.76[c]
End of year 2	–0–	757.51	757.51	9,174.27
End of year 3	–0–	825.73[d]	825.73	10,000.00
	$ –0–	$2,278.20	$2,278.20	

[a] $7,721.80 × .09 = $694.96
[b] $694.96 – $0 = $694.96
[c] $7,721.80 + $694.96 = $8,416.76
[d] 5¢ adjustment to compensate for rounding

ILLUSTRATION 5.10

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Discount Amortization Schedule—
Effective-Interest Method

Schedule of Note Discount Amortization
Effective-Interest Method
10% Note Discounted at 12%

	Cash Received	Interest Revenue	Discount Amortized	Carrying Amount of Note
Date of issue				€ 9,520
End of year 1	€1,000[a]	€1,142[b]	€142[c]	9,662[d]
End of year 2	1,000	1,159	159	9,821
End of year 3	1,000	1,179	179	10,000
	€3,000	€3,480	€480	

[a] €10,000 × .10 = €1,000
[b] €9,520 × .12 = €1,142
[c] €1,142 − €1,000 = €142
[d] €9,520 + €142 = €9,662

ILLUSTRATION 5.13

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Notes Received for Property, Goods, or Services

In a bargained transaction entered into at arm's length, the stated interest rate is presumed to be fair unless:

1. No interest rate is stated, or
2. Stated interest rate is unreasonable, or
3. Face amount of the note is materially different from the
   - current cash sales price or
   - from the current market value of the debt instrument.

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Valuation of Notes Receivable

- Companies record and report short-term notes receivable at their cash realizable value.
- Computations and estimations involved in valuing short-term notes receivable and in recording bad debt expense and the related allowance **exactly parallel that for trade accounts receivable**.

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Other Issues Related to Receivables

- Additional issues related to receivables are:
  1. Secured borrowing.
  2. Transfers of receivables.
  3. Presentation and analysis.

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Secured Borrowing

- Secured borrowings typically use receivables to increase liquidity.
- Companies often use receivables as collateral for borrowing.
- Creditors often require debtors to assign or pledge. receivables as loan security. If unpaid, creditors can collect the receivables as cash.
- Under secured borrowings, pledged receivables are reported like any other asset on the balance sheet, with a disclosure indicating they are collateral.

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Entries for Transfer of Receivables—Secured Borrowing

	Meng Mills			Sino Bank		
Transfer of accounts receivable and issuance of note on March 1, 2026						
Cash	493,000			Notes Receivable	500,000	
Interest Expense	7,000*			Interest Revenue		7,000*
Notes Payable		500,000		Cash		493,000
*(NT$700,000 × .01)						
Collection in March of NT$440,000 of accounts less cash discounts of NT$6,000 plus receipt of NT$14,000 sales returns (return liability was recorded at the time of the original sale)						
Cash	434,000					
Sales Discounts	6,000					
Return Liability	14,000			(No entry)		
Accounts Receivable		454,000*				
*(NT$440,000 + NT$14,000 = NT$454,000)						
Remitted March collections plus accrued interest to the bank on April 1, 2026						
Interest Expense	5,000*			Cash	439,000	
Notes Payable	434,000			Interest Revenue		5,000*
Cash		439,000		Notes Receivable		434,000
*(NT$500,000 × .12 × 1/12)						
Collection in April of the balance of accounts less NT$2,000 written off as uncollectible						
Cash	244,000					
Allowance for Doubtful Accounts	2,000			(No entry)		
Accounts Receivable		246,000*				
*(NT$700,000 − NT$454,000)						
Remitted the balance due of NT$66,000 (NT$500,000 − NT$434,000) on the note plus interest on May 1, 2026						
Interest Expense	660*			Cash	66,660	
Notes Payable	66,000			Interest Revenue		660*
Cash		66,660		Notes Receivable		66,000
*(NT$66,000 × .12 × 1/12)						

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Transfers of Receivables

- Transfer of receivables means transferring the right to receive cash flows to a third party.
- Various reasons for transfer of receivables to another party
  - Accelerate the receipt of cash.
  - Competition.
  - Sell receivables because money is tight.
  - Billing / collection are time-consuming and costly.

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Transfers of Receivables

- Most durable goods, like automobiles, trucks , industrial and farm equipment, computers, and appliances, are sold via installment contracts.
- Many industry giants have subsidiaries solely for receivables financing.
  - **Daimler has Daimler Truck Financial, and Toyota has Toyota Motor Credit.**

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Transfers of Receivables

- The holder may sell receivables due to financial constraints or costly credit access. Also, a firm may sell receivables to avoid breaching existing lending agreements.
- Credit card companies streamline receivables collection, providing merchants with instant cash and reducing time and costs.
- **Purchasers (transferee)** of receivables acquire them to gain the legal benefits of asset ownership compared to those of a secured creditor.
- Banks and other lenders may purchase receivables due to legal lending restrictions, enabling them to charge a fee for this service.

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Summary of Transfers

Accounting for Transfers of Receivables

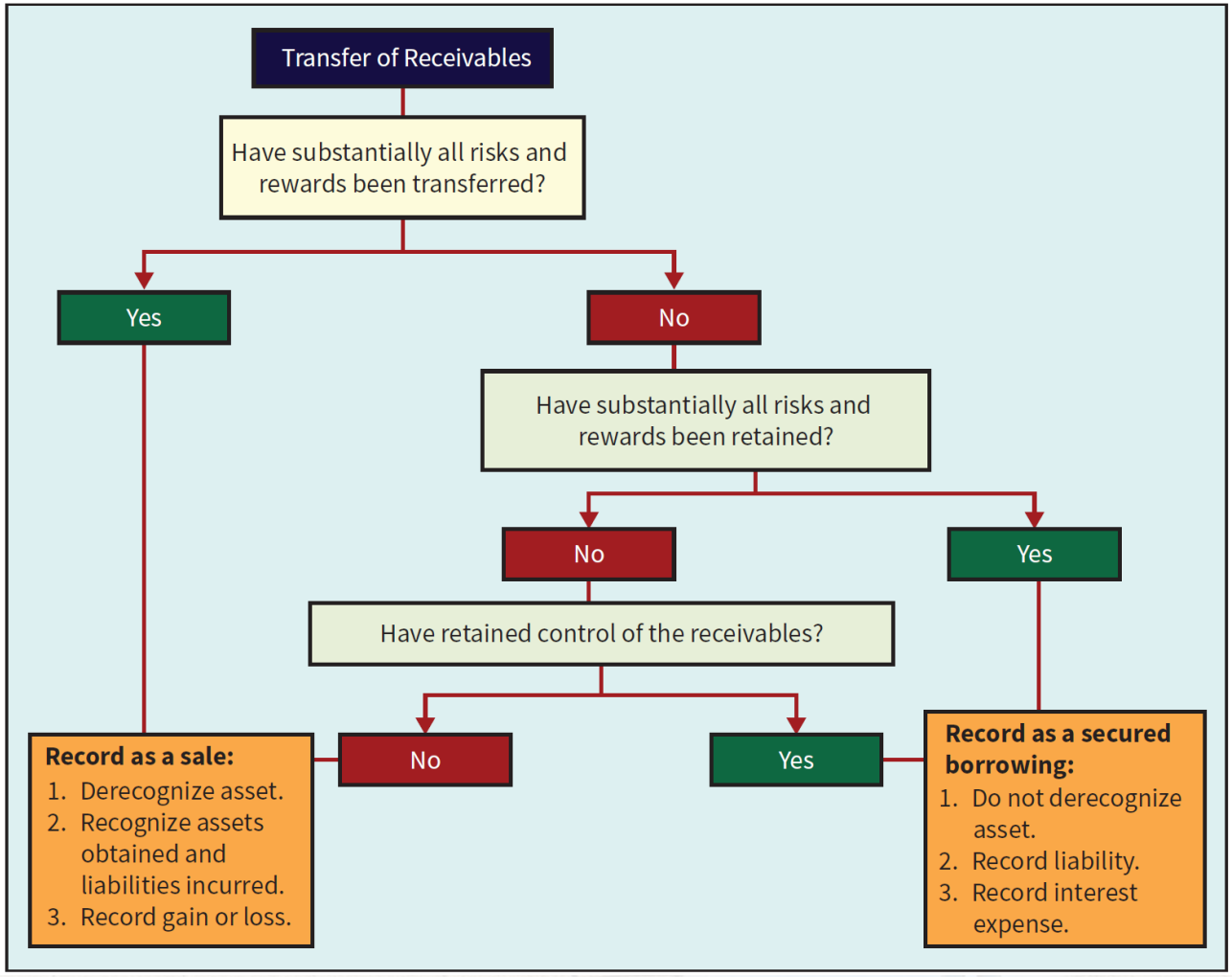


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Transfers of Receivables

- If substantially all the risks and rewards of ownership of the receivable are transferred or surrendered control, then sale accounting is applied, and the receivable is derecognized.
- If substantially all of the risks and rewards are not transferred and retained control of the receivables, the company treats the transfer as a secured borrowing.
- If sale accounting is appropriate, a company must still consider assets obtained and liabilities incurred in the transaction (e.g., a guarantee).

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Sales of Receivables

Basic Procedures in Factoring

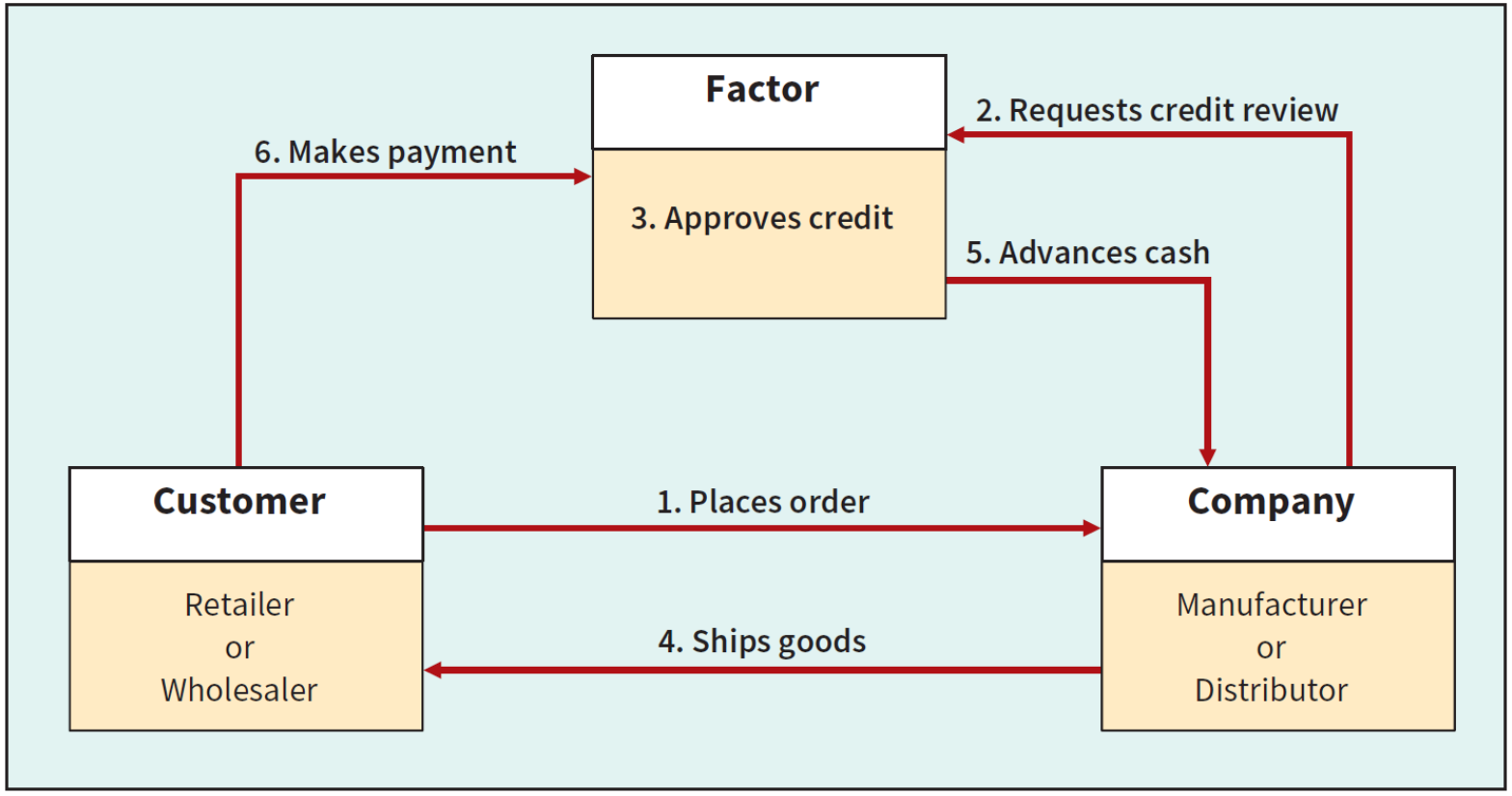


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Factors are finance companies or banks that buy receivables from businesses for a fee.

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Sales of Receivables

Sale without Guarantee

- Purchaser assumes risk of collection and absorbs any credit losses.
- Transfer is outright sale of receivable.
- Seller records loss on sale.
- Seller uses a Due from Factor (receivable) account to cover probable sales discounts, sales returns, and sales allowances.

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Sales of Receivables

Sale with Guarantee

- Seller guarantees payment to purchaser.
- Transfer is considered a borrowing—sometimes referred to as a **failed sale**.
- Assume Crest Textiles sold the receivables on a **with guarantee** basis.

Crest Textiles		
Cash	460,000	
Due from Factor	25,000	
Finance Charge	15,000	
Recourse Liability		500,000

Commercial Factors		
Accounts Receivable	500,000	
Due to Customer (Crest Textiles)		25,000
Interest Revenue		15,000
Cash		460,000

IILLUSTRATION 5.18

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Sales of Receivables

Sale with Limited Guarantee

- Neither transfers nor retains substantially all the risks and rewards of ownership of the receivable; it should **take a control test**.
- The primary indicator that the company has control of an asset is if it can sell the asset.
- Assume Crest Textiles sold the receivables on a **with limited guarantee** basis.

Crest Textiles

Cash	460,000	
Accounts (Notes) Receivable	100,000	
Due from Factor	25,000*	
Loss on Sale of Receivables	33,000**	
Accounts (Notes) Receivable		500,000
Continuing involvement Liability		100,000
Recourse Liability		18,000

*(.05 × $500,000) **(.03 × $500,000) + $18,000

Commercial Factors

Accounts (Notes) Receivable	500,000	
Due to Customer (Crest Textiles)		25,000
Interest Revenue		15,000
Cash		460,000

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Transfers that Qualify for Derecognition

Derecognition of a Part of a Receivable

- Company may only transfer part of a receivable:
  - One example is the transfer of principal-only cash flows that are part of a notes receivable.
- If the interest-only part transferred qualifies for derecognition in its entirety, the carrying value of the notes receivable is allocated between the interest-only part that continues to be recognized and the principal-only part that is derecognized based on the relative fair values of those parts on the date of the transfer.
- Transfer is outright sale of receivable.

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Servicing Assets and Liabilities

- The transferee may possibly pay servicing fees.
- If transfers qualify for derecognition, a servicing asset is recognized if the fee exceeds service costs, while a servicing liability is recognized if the fee does not adequately compensate for servicing.
- The servicing asset, considered a retained asset, is recognized based on an allocation of the transferred receivable's carrying amount. The allocation is determined by the relative fair value between the servicing asset and the other portion of the transferred receivable at the time of transfer.
- The servicing liability, reflecting advance consideration for future services, is recognized at fair value.

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Presentation and Analysis

General rules in classifying receivables are:

1. Segregate and report carrying amounts of different categories of receivables.
2. Indicate receivables classified as current and non-current in the statement of financial position.
3. Appropriately offset the valuation accounts for receivables that are impaired, including a discussion of individual and collectively determined impairments.
4. Disclose the fair value of receivables in such a way that permits them to be compared with their carrying amount.
5. Disclose information to assess the credit risk inherent in the receivables.
6. Disclose any receivables pledged as collateral.
7. Disclose all significant concentrations of credit risk arising from receivables.

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Accounts Receivable Turnover

This ratio used to:

- Assess the liquidity of the receivables.
- Measure the number of times, on average, a company collects receivables during the period.

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Cash Controls

Management faces two problems in accounting for cash transactions:

1. Establish proper controls to prevent any unauthorized transactions by officers or employees.
2. Provide information necessary to properly manage cash on hand and cash transactions.

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Using Bank Accounts

To obtain desired control objectives, a company can vary the number and location of banks and the types of accounts.

- General checking account
- Collection float
- Lockbox accounts
- Imprest bank accounts

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Physical Protection of Cash Balances

Company should

- Minimize the cash on hand.
- Only have on hand petty cash and current day's receipts.
- Keep funds in a vault, safe, or locked cash drawer.
- Transmit each day's receipts to the bank as soon as practicable.
- Periodically prove the balance shown in the general ledger.

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Reconciliation of Bank Balances

- Schedule explaining any differences between the bank's and the company's records of cash.
- Reconciling Items:
  1. Deposits in transit.
  2. Outstanding checks.
  3. Bank charges
  4. Bank credits.
  5. Bank or depositor errors.

Time Lags

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Bank Reconciliation Form and Content

Balance per bank statement (end of period)		$$$
Add: Deposits in transit	$$	
Undeposited receipts (cash on hand)	$$	
Bank errors that understate the bank statement balance	$$	$$
		$$$
Deduct: Outstanding checks	$$	
Bank errors that overstate the bank statement balance	$$	$$
Correct cash balance		$$$
Balance per depositor's books		$$$
Add: Bank credits and collections not yet recorded in the books	$$	
Book errors that understate the book balance	$$	$$
		$$$
Deduct: Bank charges not yet recorded in the books	$$	
Book errors that overstate the book balance	$$	$$
Correct cash balance		$$$

ILLUSTRATION 5A.1

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